Urban Transport is one of the key elements of urban infrastructure. As compared to private modes of transport, public transport is energy efficient and less polluting. The public transport system helps improve urban-rural linkages and access of rural/semi-urban population in the periphery to city centres for the purposes of work without proliferation of slums within and around cities. National Urban Transport Policy (NUTP), 2006 **aims** to ensure accessible, safe, affordable, quick, comfortable, reliable, and sustainable mobility for all – under which several projects of 'bus rapid transit system' (BRTSs) and 'Metro Rail Projects' have been sanctioned by may 2012.

Financing Infrastructure: Net bank credit to infrastructure had a healthy growth of 48.4 per cent per annum during 2006- 11 but it turned negative 2011-12 and was around 61 per cent of 2010-11 – power and telecom sectors saw significant reduction. FDI inflows registered 23.6 per cent growth in 2011-12 with power (43.6 per cent), non-conventional energy (338 per cent) and telecommunications (499 per cent) the preferred sectors for foreign investors- ther sectors, however, failed to share the buoyancy in FDI inflows.

ENERGY PRICING

The economic role of rational energy pricing can hardly be under-estimated. Rational energy prices provide the right signals to both the producers and consumers and lead to a demand-supply match, providing incentives for reducing consumption on the one hand and stimulating production on the other. Aligning domestic energy prices with the global prices, especially when large imports are involved, may be ideal option as misalignment could pose both micro- and macroeconomic problems.

At microeconomic level, underpricing of energy to the consumer not only reduces the incentive for being energyefficient, it also creates fiscal imbalances. Leakages and inappropriate use may be the other implications. Underpricing to the producer reduces both his incentive and ability to invest in the sector and increases reliance on imports. Over the years, India's energy prices have become misaligned and are now much lower than global